

The Ultimate Trader's Cheat Sheet

EMA, VWAP, Volume, RSI, and MACD — every key reference in one place.

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This cheat sheet covers the standard indicator settings, how to read each signal, and how to use them together. These are not magic — they are tools. Used correctly, they add context to price action.

MOVING AVERAGES

Standard Settings and Signals

8 EMA: short-term momentum. 20 EMA: medium-term trend. 50 SMA: intermediate trend. 200 SMA: long-term trend. Price above all four = strongly bullish. Price below all four = strongly bearish. The 8 and 20 EMA are most useful for intraday trading.

VWAP

Volume Weighted Average Price

VWAP is the average price weighted by volume throughout the day. It resets every session. Price above VWAP: buyers in control. Price below VWAP: sellers in control. VWAP is a magnet — extended stocks tend to revert to it. Institutions use it as a benchmark.

VOLUME

Reading Volume Signals

High volume breakout: strong and likely to hold. Low volume breakout: suspect, likely to fail. High volume on a sell-off: panic or institutional selling. Low volume pullback in an uptrend: healthy — buyers are not exiting, just pausing.

RSI

Relative Strength Index (14-period)

RSI measures momentum on a 0-100 scale. Above 70: overbought — a caution zone, not a sell signal alone. Below 30: oversold — watch for reversal signals. RSI divergence is the most useful signal: price makes a new high but RSI makes a lower high — momentum is fading.

MACD

Standard Settings (12, 26, 9)

MACD line crosses above signal line: bullish momentum shift. MACD line crosses below signal line: bearish momentum shift. MACD histogram growing: momentum accelerating. MACD histogram shrinking: momentum fading. Most useful on daily charts for swing trade confirmation.

INDICATOR USAGE RULES

- Indicators confirm price action — they do not replace it.
- Never use a single indicator to make a trade decision.
- Confluence of 2-3 signals at the same level is where high-probability trades live.
- Price is the primary signal. Everything else is secondary.
- Simpler is better — most profitable traders use fewer indicators, not more.

